

The principal-agent problem

Markets may not work properly when some people have more information than others. For example, the owner of a building firm wants to maximize his profits, but this depends on the efforts of his employees. This is known as the principal-agent problem: an outcome that is important to the owner (the principal) depends on the actions of the workers (the agents). However, the agents have more information than the principal about their own actions. The owner of the building firm can't monitor the effort of all the bricklayers and carpenters scattered across various building sites.

Much economic theory looks at the question of how the principal can create incentives for agents to act in the way he wants, when these actions are costly to the agents. Other examples of principal-agent problems occur in health markets: the principal (the patient) may be concerned about whether her doctor is recommending a beneficial treatment or merely one that is profitable to him.

